

UNIT 8: DISCLOSUR



8.0 INTRODUCTION

This Unit is divided in two parts as follows:

- Part A: Disclosure of interest in other entities as per Ind AS 112
- Part B: Disclosure in separate financial statements as per Ind AS 27

Note: Only those disclosures which are significant from students' perspective have been covered here.

PART A:

DISCLOSURE OF INTERESTS IN OTHER ENTITIES AS PER



8.1 OBJECTIVE OF IND AS 112

Ind AS 112 require an entity to disclose information (related to its interests in other entities) that enables users of its financial statements to evaluate:

the nature of, and risks associated with, its **interests in other entities**
(defined below)

AND

the **effects of those interests** on its financial position, financial performance and cash flows

Interests in other entities

Definition: For the purpose of Ind AS 112, an interest in another entity refers to **contractual and non-contractual involvement that exposes an entity to variability of returns** from the performance of the other entity. Consideration of the purpose and design of the other entity may help the reporting entity when assessing whether it has an interest in that entity and, therefore, whether it is required to provide the disclosures in Ind AS 112. That assessment shall include consideration of the risks that the other entity was designed to create and the risks the other entity was designed to pass on to the reporting entity and other parties.

- An interest in another entity can be evidenced by, but is not limited to, the holding of equity or debt instruments as well as other forms of involvement such as the provision of funding, liquidity support, credit enhancement and guarantees.
- It includes the means by which an entity has control or joint control of, or significant influence over, another entity. An entity does not necessarily have an interest in another entity solely because of a typical customer supplier relationship.

A reporting entity is typically exposed to variability of returns from the performance of another entity by holding instruments (such as equity or debt instruments issued by the other entity) or having another involvement that absorbs variability.

Example 4

Assume a structured entity holds a loan portfolio. The structured entity obtains a credit default swap from another entity (the reporting entity) to protect itself from the default of interest and principal payments on the loans. The reporting entity has involvement that exposes it to variability of returns from the performance of the structured entity because the credit default swap absorbs variability of returns of

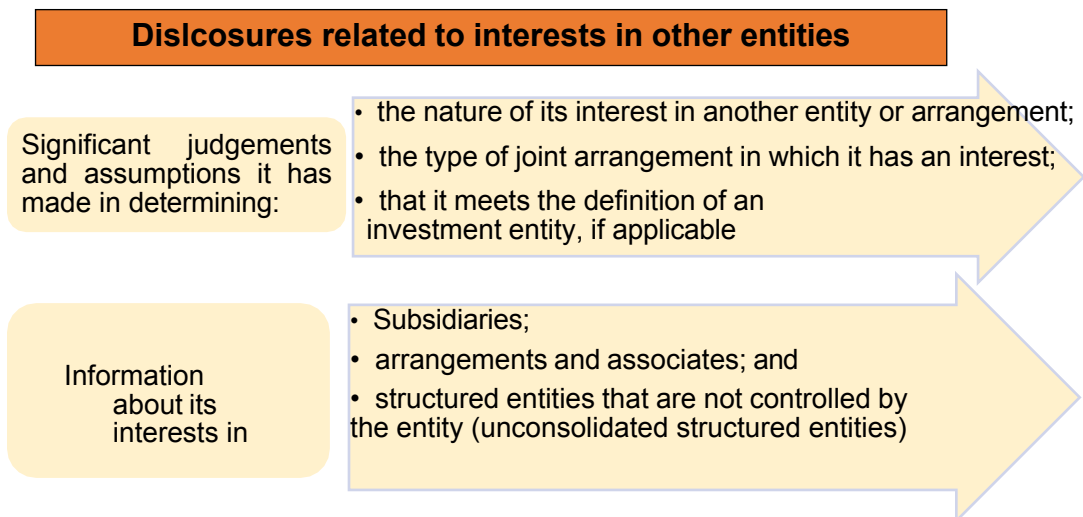
Some instruments are designed to transfer risk from a reporting entity to another entity. Such instruments create variability of returns for the other entity but do not typically expose the reporting entity to variability of returns from the performance of the other entity.

Example 5

Assume a structured entity is established to provide investment opportunities for investors who wish to have exposure to entity Z's credit risk (entity Z is unrelated to any party involved in the arrangement). The structured entity obtains funding by issuing to those investors notes that are linked to entity Z's credit risk (credit-linked notes) and uses the proceeds to invest in a portfolio of risk-free financial assets. The structured entity obtains exposure to entity Z's credit risk by entering into a credit default swap (CDS) with a swap counterparty. The CDS passes entity Z's credit risk to the structured entity in return for a fee paid by the swap counterparty. The investors in the structured entity receive a higher return that reflects both the structured entity's return from its asset portfolio and the CDS fee. The swap counterparty does not have involvement with the structured entity that exposes it to variability of returns from the performance of the structured

Meeting the objective

To meet the above objective, an entity shall disclose following:



Each of the above disclosures are explained in detail subsequently in this unit.

If the disclosures required by Ind AS 112, together with disclosures required by other Ind AS, do not meet the objective mentioned above, then an entity shall disclose whatever additional information is necessary to meet that objective.

Aggregation

An entity shall decide, in the light of its circumstances, how much detail it provides to satisfy the information needs of users, how much emphasis it places on different aspects of the requirements and how it aggregates the information. It is necessary to strike a balance between burdening financial statements with excessive detail that may not assist users of financial statements and obscuring information as a result of too much aggregation.

An entity may aggregate the disclosures required by Ind AS 112 for interests in similar entities if aggregation is consistent with the disclosure objective and the requirement in next paragraph and does not obscure the information provided. An entity shall disclose how it has aggregated its interests in similar entities.

An entity **shall** present information **separately** for interests in:

- a) subsidiaries;
- b) joint ventures;

- c) joint operations;
- d) associates; and
- e) unconsolidated structured entities (explained in this unit).

In determining whether to aggregate information, an entity shall consider quantitative and qualitative information about the different risk and return characteristics of each entity it is considering for aggregation and the significance of each such entity to the reporting entity. The entity shall present the disclosures in a manner that clearly explains to users of financial statements the nature and extent of its interests in those other entities.

Examples of aggregation levels **within the classes of entities mentioned above** that might be appropriate are:

- (a) nature of activities (e.g. a research and development entity, a revolving credit card securitisation entity).
- (b) industry classification.
- (c) geography (e.g. country or region)



8.2 SCOPE OF IND AS 112

Scope inclusions

Disclosure requirements of Ind AS 112 **applies** to an entity that has an interest in any of the following:

Subsidiaries	Joint arrangements (i.e. joint operations or joint ventures)	Associates	Unconsolidated structured entities
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The disclosure requirements of Ind AS 112 also applies if an entity's interests listed as above are classified (or included in a disposal group that is classified) as held for sale or discontinued operations in accordance with Ind AS 105 '*Non-current Assets Held for Sale and Discontinued Operations*'.

Scope exclusions

Disclosure requirements of Ind AS 112 **does not apply** to the following:

Post-employment benefit plans or other long-term employee benefit plans to which Ind AS 19

'Employee Benefits' applies

- For example, Company A has set up an Employee Benefit Plan trust. So, Company A is not required to make disclosures as required by Ind AS 112 of its interest in such trust

An entity's separate financial statements to which Ind AS 27 '*Separate Financial Statements*'

applies. However,

- If an entity has interests in unconsolidated structured entities and prepares separate financial statements as its only financial statements then it shall apply the disclosure requirements of Ind AS 112
- An Investment entity that prepares financial statements in which all of its subsidiaries are measured at fair value through profit or loss in accordance with Ind AS 110 '*Consolidated Financial Statements*' shall present the disclosures relating to investment entities required by Ind AS 112

Interest held by an entity that participates in, but does not have joint control of, a joint arrangement unless that interest results in significant influence over the arrangement or is an interest in a structured entity.

Interest in another entity that is accounted for in accordance with Ind AS 109 '*Financial Instruments*'. However, an entity shall apply Ind AS 112:

- when that interest is an interest in an associate or a joint venture that, in accordance with Ind AS 28 '*Investments in Associates and Joint Ventures*' is measured at fair value through profit or loss; or
- when that interest is an interest in an unconsolidated structured entity



8.3

RELATE T INTERES I

DISCLOSUR

An entity shall disclose information that enables users of its consolidated financial statements

to understand

- the composition of the group; and
- the **interest that non-controlling interests have** in the group's activities and cash flows; and

to evaluate

- the **nature and extent of significant restrictions** on its ability to access or use assets, and settle liabilities, of the group
- the **nature of, and changes in, the risks associated** with its interests in consolidated structured entities
- the **consequences of changes in its ownership interest** in a subsidiary that do not result in a loss of control; and
- the **consequences of losing control** of a subsidiary during the reporting period

When the financial statements of a subsidiary used in the preparation of consolidated financial statements are as of a date or for a period that is different from that of the consolidated financial statements, an entity shall disclose:

- the date of the end of the reporting period of the financial statements of that subsidiary; and
- the reason for using a different date or period.

8.3.1 The interest that non-controlling interests have in the group's activities and cash flows

An entity shall disclose for each of its subsidiaries that have non-controlling interests that are material to the reporting entity:

the name of the subsidiary.	
the principal place of business (and country of different from the principal place of business) of the	
the proportion of ownership interests held by non-controlling interests.	
the proportion of voting rights held by non-controlling different from the proportion of ownership interests	
the profit or loss allocated to non-controlling interests subsidiary during the reporting period.	
accumulated non-controlling interests of the end of the reporting period.	
summarised financial information about the subsidiary subsequently in this unit)	

The nature and extent of significant restrictions

An entity shall disclose following:

Significant restrictions (eg statutory, contractual and regulatory restrictions) on its ability to

- those that restrict the ability of a parent or its subsidiaries to transfer cash or other assets to (or from) other entities within the group.
- guarantees or other requirements that may restrict dividends and other capital distributions being paid, or loans and advances being made or repaid, to (or from) other entities within the group.

The **nature and extent** to which protective rights of non-controlling interests can significantly restrict the entity's ability to access or use the assets and settle the liabilities of the group (such as when a parent is obliged to settle liabilities of a subsidiary before settling its own liabilities, or approval of non-controlling interests is required either to access the assets or to settle the liabilities of a subsidiary).

The **carrying amounts** in the consolidated financial statements of the assets

8.3.2 Nature of the risks associated with an entity's interests in consolidated structured entities

An entity shall disclose the terms of any contractual arrangements that could require the parent or its subsidiaries to provide financial support to a consolidated structured entity, including events or circumstances that could expose the reporting entity to a loss (e.g. liquidity arrangements or credit rating triggers associated with obligations to purchase assets of the structured entity or provide financial support).

If during the reporting period a parent or any of its subsidiaries has, without having a contractual obligation to do so, **provided financial or other support to a consolidated structured entity** (e.g. purchasing assets of or instruments issued by the structured entity), the entity shall disclose:

- a) the type and amount of support provided, including situations in which the parent or its subsidiaries assisted the structured entity in obtaining financial support; and
- b) the reasons for providing the support.

If during the reporting period a parent or any of its subsidiaries has, without having a

contractual obligation to do so, provided financial or other support to a previously unconsolidated

structured entity and that provision of support resulted in the entity controlling the structured entity, the entity shall disclose an explanation of the relevant factors in reaching that decision.

An entity shall disclose any current intentions to provide financial or other support to a consolidated structured entity, including intentions to assist the structured entity in obtaining financial support.

8.3.3 Consequences of changes in a parent's ownership interest in a subsidiary that do not result in a loss of control

An entity shall present a schedule that shows the effects on the equity attributable to owners of the parent of any changes in its ownership interest in a subsidiary that do not result in a loss of control.

8.3.4 Consequences of losing control of a subsidiary during the reporting period

An entity shall disclose the gain or loss, if any, calculated in accordance with Ind AS 110, and:

- (a) the portion of that gain or loss attributable to measuring any investment retained in the former subsidiary at its fair value at the date when control is lost; and
- (b) the line item(s) in profit or loss in which the gain or loss is recognised (if not presented separately).



8.4 DISCLOSURES RELATED TO INTERESTS IN JOINT ARRANGEMENTS AND ASSOCIATES

An entity shall disclose information that enables users of its financial statements to evaluate:

- (a) the **nature, extent and financial effects** of its interests in joint arrangements and associates, including the nature and effects of its contractual relationship with the other investors with joint control of, or significant influence over, joint arrangements and associates; and
- (b) the nature of, and changes in, the **risks associated with its interests** in joint ventures and associates

The above disclosure requirements are discussed in detail in this section below.

8.4.1 Nature, extent and financial effects of an entity's interests in joint

arrangements and associates

An entity shall disclose:

For each **joint arrangement and associate** that is material to the reporting entity:

- the name of the joint arrangement or associate.
- the nature of the entity's relationship with the joint arrangement or associate (by, for example, describing the nature of the activities of the joint arrangement or associate and whether they are strategic to the entity's activities).
- the principal place of business (and country of incorporation, if applicable and different from the principal place of business) of the joint arrangement or associate.

- the proportion of ownership interest or participating share held by the entity and, if different, the proportion of voting rights held (if applicable).

For each **joint venture and associate** that is material to the reporting entity:*

- whether the investment in the joint venture or associate is measured using the equity method or at fair value.
- summarised financial information about the joint venture or associate (explained subsequently in this unit)
- if the joint venture or associate is accounted for using the equity method, the fair value of its investment in the joint venture or associate, if there is a quoted market price for the investment.

Financial information (explained subsequently in this unit) about the entity's investments

in joint ventures and associates that are **not individually material**: *

- in aggregate for all individually immaterial joint ventures and, separately,
- in aggregate for all individually immaterial associates.

* This information is not required to be disclosed by an investment entity.



8.5

O SUMMARIS FINANCI INFORMATION FOR SUBSIDIARIES, JOINT VENTURES AND ASSOCIATES

In this section, we will discuss disclosure requirements for following:

- Disclosures for subsidiary that has non-controlling interests that are material
- Disclosures for joint venture and associate
- Disclosure for subsidiary, associate or joint venture classified as held for sale

8.5.1 Disclosures for subsidiary that has non-controlling interests that are material

For each subsidiary that has non-controlling interests that are material to the reporting entity, an entity shall disclose:

- a) dividends paid to non-controlling interests.
- b) summarised financial information about the assets, liabilities, profit or loss and cash flows of the subsidiary that enables users to understand the interest that non-controlling interests have in the group's activities and cash flows. That information might include but is not limited to, for example, current assets, non-current assets, current liabilities, non-current liabilities, revenue, profit or loss and total comprehensive income. (This information shall be the amounts before inter-company eliminations).

8.5.2 Disclosures for joint venture and associate

For each **joint venture and associate that is material** to the reporting entity, an entity shall disclose:

Dividends received from the joint venture or

Summarised financial information for the joint venture or associate including, but not necessarily limited to:

- current assets
- non-current assets
- current liabilities
- non-current liabilities
- revenue
- profit or loss from continuing operations
- post-tax profit or loss from discontinued operations
- other comprehensive income

In addition to the summarised financial information mentioned above, an entity shall disclose for

each joint venture that is material to the reporting entity the amount of:

Cash and cash equivalents
Current financial liabilities (excluding trade and other payables and provisions)
Non-current financial liabilities (excluding trade and other payables and provisions)
Depreciation and amortisation
Interest
income
Interest

The summarised financial information presented in accordance with above for joint venture and associate shall be the amounts included in the Ind AS financial statements of the joint venture or associate (and not the entity's share of those amounts). If the entity accounts for its interest in the joint venture or associate using the equity method:

- a) the amounts included in the Ind AS financial statements of the joint venture or associate shall be adjusted to reflect adjustments made by the entity when using the equity method, such as fair value adjustments made at the time of acquisition and adjustments for differences in accounting policies.
- b) the entity shall provide a reconciliation of the summarised financial information presented to the carrying amount of its interest in the joint venture or associate.

An entity may present the summarised financial information required for joint venture or associate

on the basis of the joint venture's or associate's financial statements if:

- a) the entity measures its interest in the joint venture or associate at fair value in accordance with Ind AS 28; and

- b) the joint venture or associate does not prepare Ind AS financial statements and preparation on that basis would be impracticable or cause undue cost.

(In that case, the entity shall disclose the basis on which the summarised financial information has been prepared.)

An entity shall disclose, in aggregate, the **carrying amount of its interests in all individually immaterial joint ventures or associates** that are accounted for using the equity method. An entity shall also disclose separately the aggregate amount of its share of those joint ventures' or associates':

- (a) profit or loss from continuing operations.
- (b) post-tax profit or loss from discontinued operations.
- (c) other comprehensive income.
- (d) total comprehensive income.

(An entity provides these disclosures separately for joint ventures and associates)

8.5.3 Disclosure for subsidiary, associate or joint venture classified as held for sale

When an entity's interest in a subsidiary, a joint venture or an associate (or a portion of its interest in a joint venture or an associate) is classified (or included in a disposal group that is classified) as **held for sale** in accordance with Ind AS 105, the entity is not required to disclose summarised financial information for that

PART B:

DISCLOSURE IN SEPARATE FINANCIAL STATEMENTS AS PER
subsidiary, joint venture or associate as mentioned above.

An entity shall apply all applicable Ind AS when providing disclosures in its separate financial statements, including the requirements mentioned below.

When a parent, in accordance with paragraph 4(a) of Ind AS 110, **elects not to prepare consolidated financial statements** and instead prepares separate financial statements, it shall disclose in those separate financial statements:

Disclosures in separate financial statements		
The fact that: •the financial statements are separate financial statements; •the exemption from consolidation has been used; •the name and principal place of business (and country of incorporation, if different) of the entity whose consolidated financial statements that comply with Ind ASs have been produced for public use; and •the address where those consolidated financial statements are obtainable.	A list of significant investments in subsidiaries, joint ventures and associates, including: •the name of those investees. •the principal place of business (and country of incorporation, if different) of those investees. •its proportion of the ownership interest (and its proportion of the voting rights, if different) held in those investees.	A description of the method used to account for those investments.

When an investment entity that is a parent prepares separate financial statements as its only financial statements, it shall disclose that fact. The investment entity shall also present the disclosures relating to investment entities required by Ind AS 112.

When a parent (other than a parent covered by paragraphs mentioned above) or an investor with joint control of, or significant influence over, an investee prepares separate financial statements, the parent or investor shall **identify the financial statements prepared in accordance with Ind AS 110, Ind AS 111 or Ind AS 28** to which they relate. The parent or investor shall also disclose in its separate financial statements:

- a) the fact that the statements are separate financial statements
- b) a list of significant investments in subsidiaries, joint ventures and associates, including:
 - I. the name of those investees.
 - II. the principal place of business (and country of incorporation, if

different) of those investees.

III. its proportion of the ownership interest (and its proportion of the voting rights, if different) held in those investees.

c) a description of the method used to account for those investments.

FOR SHORTCUT TO IND AS WISDOM: SCAN ME!



IND AS 27



IND AS 28



IND AS 110



IND AS 111

TEST YOUR KNOWLEDGE

Questions

1. X Limited was holding 100% of the equity share capital of Y Limited and Y Limited was treated as a subsidiary by X Limited. Now, Y Limited issues convertible preference shares to Z Limited. As per the issue document of convertible preference shares, Z Limited also gets the rights to participate in the relevant activities of Y Limited whereby Z Limited's consent is also necessary to pass any decision by the equity shareholder of Y Limited (i.e. X Limited). Determine how should X Limited account for its investment in Y Limited in its consolidated financial statements after the issue of convertible preference shares by Y Limited to Z Limited?
2. M Limited holds 90% interest in subsidiary N Limited. N Limited holds 25% interest in an associate O Limited. As at 31 March 20X1, the net assets of O Limited was ₹ 300 lakhs including profit of ₹ 40 lakhs for the year ended 31 March 20X1. Calculate how the investment in O Limited will be accounted in the consolidated financial statements of M Limited?
3. AB Limited holds 30% interest in an associate which it has acquired for a cost of ₹ 300 lakhs. On the date of acquisition of that stake, the fair value of net assets of the associate was ₹ 900 lakh. The value of goodwill on acquisition was ₹ 30 lakhs. After the acquisition, AB Limited accounted for the investment in the associate as per equity method of accounting and now the carrying value of such investment in the consolidated financial statements of AB Limited is ₹ 360 lakhs. The associate has now issued equity shares to some investors other than AB Limited for a consideration of ₹ 800 lakhs. This has effectively reduced the holding of AB Limited to 20%. Determine how AB Limited should account for such reduction in interest in the associate?
4. DEF Ltd. acquired 100% ordinary shares of ₹ 100 each of XYZ Ltd. on 1st October 20X1. On March 31, 20X2 the summarised Balance Sheets of the two companies were as given below:

	DEF Ltd.	XYZ Ltd.
Assets		
Property Plant Equipment		

Land & Buildings	15,00,000	18,00,000
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Plant & Machinery	24,00,000	13,50,000
Investment in XYZ Ltd.	34,00,000	-
Inventory	12,00,000	3,64,000
Financial Assets		
Trade Receivable	5,98,000	4,00,000
Cash	<u>1,45,000</u>	<u>80,000</u>
Total	<u>92,43,000</u>	<u>39,94,000</u>
Equity & Liabilities		
Equity Capital (Shares of ` 100 each fully paid)	50,00,000	20,00,000
Other Equity		
Other reserves	24,00,000	10,00,000
Retained Earnings	5,72,000	8,20,000
Financial Liabilities		
Bank Overdraft	8,00,000	-
Trade Payable	<u>4,71,000</u>	<u>1,74,000</u>
Total	<u>92,43,000</u>	<u>39,94,000</u>

The retained earnings of XYZ Ltd. showed a credit balance of ` 3,00,000 on 1<sup>st</sup> April 20X1 out of which a dividend of 10% was paid on 1<sup>st</sup> November; DEF Ltd. has recognised the dividend received to profit or loss account; Fair Value of P&M as on 1<sup>st</sup> October 20X1 was ` 20,00,000. The rate of depreciation on plant & machinery is 10%.

Following are the increases on comparison of Fair value as per respective Ind AS with Book value as on 1st October 20X1 which are to be considered while consolidating the Balance Sheets.

Liabilities	Amount	Assets	Amount
Trade Payables	1,00,000	Land & Buildings	10,00,000
		Inventories	1,50,000

Notes:

- It may be assumed that the inventory is still unsold on balance sheet date and the Trade Payables are also not yet settled.

- II. Also assume that the Other Reserves of both the companies as on 31st March 20X2 are the same as was on 1st April 20X1.
- III. All fair value adjustments have not yet started impacting consolidated post- acquisition profits.

Prepare consolidated Balance Sheet as at March 31, 20X2.

5. Ram Ltd. acquired 60% ordinary shares of ` 100 each of Krishan Ltd. on 1st October 20X1. On March 31, 20X2 the summarised Balance Sheets of the two companies were as given below:

	Ram Ltd.	Krishan Ltd.
Assets		
Property, Plant and Equipment		
Land & Buildings	3,00,000	3,60,000
Plant & Machinery	4,80,000	2,70,000
Investment in Krishan Ltd.	8,00,000	-
Inventory	2,40,000	72,800
Financial Assets		
Trade Receivables	1,19,600	80,000
Cash	<u>29,000</u>	<u>16,000</u>
Total	<u>19,68,600</u>	<u>7,98,800</u>
Equity & Liabilities		
Equity Capital (Shares of ` 100 each fully paid)	10,00,000	4,00,000
Other Equity		
Other Reserves	6,00,000	2,00,000
Retained earnings	1,14,400	1,64,000
Financial Liabilities		
Bank Overdraft	1,60,000	-
Trade Payable	<u>94,200</u>	<u>34,800</u>
Total	<u>19,68,600</u>	<u>7,98,800</u>

The Retained earnings of Krishan Ltd. showed a credit balance of ₹ 60,000 on 1st April 20X1 out of which a dividend of 10% was paid on 1st November; Ram Ltd. has credited the dividend received to its Retained earnings; Fair Value of P&M as on 1st October 20X1 was ₹ 4,00,000; The rate of depreciation on plant & machinery is 10%.

Following are the increases on comparison of Fair value as per respective Ind AS with book value as on 1st October 20X1 which are to be considered while consolidating the Balance Sheets.

Liabilities	Amount	Assets	Amount
Trade Payables	20,000	Land & Buildings	2,00,000
		Inventories	30,000

Notes:

- I. It may be assumed that the inventory is still unsold on balance sheet date and the Trade Payables are also not yet settled.
- II. Also assume that the Other Reserves as on 31st March 20X2 are the same as was on 1st April 20X1.

Prepare consolidated Balance Sheet as at March 31, 20X2.

6. On 31 March 20X2, Blue Heavens Ltd. acquired 100% ordinary shares carrying voting rights of Orange County Ltd. for ₹ 6,000 lakh in cash and it controlled Orange County Ltd. from that date. The acquisition-date statements of financial position of Blue Heavens Ltd. and Orange County Ltd. and the fair values of the assets and liabilities recognised on Orange County Ltd. balance sheet were:

	Blue Heavens Ltd.	Orange County Ltd.	
	Carrying Amount (₹ in lakh)	Carrying Amount (₹ in lakh)	Fair Value (₹ in lakh)
Assets			
Non-current assets			
Building and other PPE	7,000	3,000	3,300
Investment in Orange County Ltd.	6,000		
Current assets			

Inventories	700	500	600
Trade receivables	300	250	250
Cash	<u>1,500</u>	<u>700</u>	700
Total assets	<u>15,500</u>	<u>4,450</u>	

Equity and liabilities			
Equity			
Share capital	5,000	2,000	
Retained earnings	10,200	2,300	
Current liabilities			
Trade payables	<u>300</u>	<u>150</u>	150
Total liabilities and equity	<u>15,500</u>	<u>4,450</u>	

Prepare the Consolidated Balance Sheet as at March 31, 20X2 of group of entities Blue Heavens Ltd. and Orange County Ltd.

7. The facts are the same as in Question 6 above. However, Blue Heavens Ltd. acquires only 75% of the ordinary shares, to which voting rights are attached of Orange County Ltd. Blue Heavens Ltd. pays ` 4,500 lakhs for the shares. Prepare the Consolidated Balance Sheet as at March 31, 20X2 of group of entities Blue Heavens Ltd. and Orange County Ltd.
8. Facts are same as in Question 6 & 7, Blue Heavens Ltd. acquires 75% of Orange County Ltd. Blue Heavens Ltd. pays ` 4,500 lakhs for the shares. At 31 March 20X3, i.e one year after Blue Heavens Ltd. acquired Orange County Ltd., the individual statements of financial position and statements of comprehensive income of Blue Heavens Ltd. and Orange County Ltd. are:

	Blue Heavens Ltd. Carrying Amount (` in lakh)	Orange County Ltd. Carrying Amount (` in lakh)
Assets		
Non-current assets		
PPE (Building and others)	6,500	2,750
Investment in Orange County Ltd.	<u>4,500</u>	
	<u>11,000</u>	<u>2,750</u>
Current assets		
Inventories	800	550
Financial Asset - Trade receivables	380	300
Cash	<u>4,170</u>	<u>1,420</u>
	<u>5,350</u>	<u>2,270</u>
Total assets	<u>16,350</u>	<u>5,020</u>

Equity and liabilities		
Equity		
Share capital	5,000	2,000
Retained earnings	<u>11,000</u>	<u>2,850</u>
	<u>16,000</u>	<u>4,850</u>
Current liabilities		
Financial Liabilities-Trade payables	<u>350</u>	<u>170</u>
	<u>350</u>	<u>170</u>
Total liabilities and equity	<u>16,350</u>	<u>5,020</u>

Statements of Profit and Loss for the year ended 31 March 20X3:

	Blue Heavens Ltd. Carrying Amount (` in lakh)	Orange County Ltd. Carrying Amount (` in lakh)
Revenue	3,000	1,900
Cost of sales	(1,800)	(1,000)
Administrative expenses	<u>(400)</u>	<u>(350)</u>
Profit for the year	<u>800</u>	<u>550</u>

Note: Blue Heavens Ltd. estimates that goodwill has impaired by 98. The fair value adjustment to buildings and other PPE is in respect of a building; all buildings have an estimated remaining useful life of 20 years from 31 March 20X2 and estimated residual values of zero. Blue Heavens Ltd. uses the straight-line method for depreciation of PPE. All the inventory held by Orange County Ltd. at 31 March 20X2 was sold during 20X3.

Prepare the Consolidated Balance Sheet as at March 31, 20X3 of group of entities Blue Heavens Ltd. and Orange County Ltd.

9. P Pvt. Ltd. has a number of wholly-owned subsidiaries including S Pvt. Ltd. at 31st March 20X2. P Pvt. Ltd.'s consolidated balance sheet and the group carrying amount of S Pvt. Ltd.'s assets and liabilities (ie the amount included in the consolidated balance sheet in respect of S Pvt. Ltd.'s assets and liabilities) at 31st March 20X2 are as follows:

Particulars	Consolidated (₹ in millions)	Group carrying amount of S Pvt. Ltd. asset and liabilities Ltd. (₹ in millions)
Assets		
Non-Current Assets		
Goodwill	380	180
Buildings	3,240	1,340
Current Assets		
Inventories	140	40
Trade Receivables	1,700	900
Cash	<u>3,100</u>	<u>1000</u>
Total Assets	<u>8,560</u>	<u>3,460</u>
Equities & Liabilities		
Equity		
Share Capital	1600	
Other Equity		
Retained Earnings	4,260	
Current liabilities		
Trade Payables	<u>2,700</u>	<u>900</u>
Total Equity & Liabilities	<u>8,560</u>	<u>900</u>

Prepare consolidated Balance Sheet after disposal as at 31st March, 20X2 when P Pvt. Ltd. group sold 100% shares of S Pvt. Ltd. to independent party for ₹ 3,000 millions.

- Reliance Ltd. has a number of wholly-owned subsidiaries including Reliance Jio Infocomm Ltd. at 31st March 20X2.

Reliance Ltd.'s consolidated balance sheet and the group carrying amount of Reliance Jio Infocomm Ltd. assets and liabilities (ie the amount included in that consolidated balance sheet in respect of Reliance Jio Infocomm Ltd. assets and liabilities) at 31st March 20X2 are as follows:

Particulars	Consolidated (₹ In '000)	Group carrying amount of Reliance Jio Infocomm Ltd. asset and liabilities Ltd. (₹ In '000)
Assets		
Non-current Assets		
Goodwill	190	90
Buildings	1,620	670
Current Assets		
Inventories	70	20
Financial Assets		
Trade Receivables	850	450
Cash	<u>1,550</u>	<u>500</u>
Total Assets	<u>4,280</u>	<u>1,730</u>
Equity & Liabilities		
Equity		
Share Capital	800	
Other Equity		
Retained Earnings	<u>2,130</u>	
	<u>2,930</u>	
Current liabilities		
Financial liabilities		
Trade Payables	<u>1,350</u>	<u>450</u>
Total Equity & Liabilities	<u>4,280</u>	<u>450</u>

Prepare consolidated Balance Sheet after disposal as at 31st March, 20X2 when Reliance Ltd. group sold 90% shares of Reliance Jio Infocomm Ltd. to independent party for ₹ 1000 thousand.

Answers

1. As per the issue document of convertible preference shares, unanimous consent of both X Limited and Z Limited are required to pass any decision about the relevant activities of Y Limited. Hence, Y Limited is jointly controlled by X Limited and Z Limited and thereby, Y Limited becomes a joint arrangement between X Limited and Z Limited.

Y Limited is structured through a separate vehicle. The legal form of Y Limited, terms of the contractual arrangement or other facts and circumstances do not give X Limited and Z Limited rights to the assets, and obligations for the liabilities, relating to Y Limited. Hence, Y Limited is a joint venture between X Limited and Z Limited.

When the convertible preference shares are issued to Z Limited, X Limited loses control over Y Limited. Hence X Limited should derecognise the assets and liabilities of Y Limited from its consolidated financial statements. 100% equity shares in Y Limited is still held by X Limited. Hence such investment would be accounted at fair value on the date of loss of control by X Limited. The difference between the fair value of 100% equity shares retained in Y Limited and the carrying value of assets and liabilities of Y Limited derecognised is recognised in profit or loss of X Limited. After the loss of control, the investment in Y Limited is accounted as per equity method of accounting by X Limited whereby the investment value in Y Limited will be adjusted for the change in the X Limited's share of the net assets Y Limited post the date of loss of control. Also, the difference between the fair value of investment in Y Limited and fair value of net identifiable assets of Y Limited shall be goodwill or capital reserve.

2. Since N Limited is a subsidiary of M Limited, the consolidated financial statements of M Limited will include 100% amounts of the consolidated financial statements of N Limited (including investment in O Limited accounted for using equity method). Accordingly, the investment in O Limited will be accounted as follows in the consolidated financial statements of M Limited:

	₹ lakh	
Investment in O Limited (300 x 25%)		75
Share in profit of O Limited		
Attributable to M Limited (40 x 25% x 90%)	9	

Attributable to Non-controlling interest of N Limited (50 x 25% x 10%)	1	10
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3. Because of the issue of shares by associate to other investors, AB Limited has effectively sold 10% (30 – 20) of its interest in the associate. The gain / loss on reduction in interest in associate is calculated as follows:

	₹ lakhs
AB Limited's share in the consideration received by the associate for issue of shares (800 x 20%) ⁽¹⁾	160
Less: Carrying value of interest sold (360 x 1/3) ⁽²⁾	(120)
Gain on reduction in interest in associate⁽³⁾	<u>40</u>

Notes:

- (1) The share in the consideration received by associate on issue of shares (i.e. ₹ 160 lakhs) would be recorded as part of investment in associate.
- (2) The carrying amount of interest sold (i.e. ₹ 120 lakhs) will be derecognised, including proportionate goodwill of ₹ 10 lakhs (30 x 1/3).
- (3) Gain of ₹ 40 lakhs will be recorded in the profit or loss.

4. **Consolidated Balance Sheet of DEF Ltd. and its subsidiary, XYZ Ltd. as at 31st March, 20X2**

Particulars	Note No.	₹
I. Assets		
(1) Non-current assets		
(i) Property Plant & Equipment	1	86,00,000
(2) Current Assets		
(i) Inventories	2	17,14,000
(ii) Financial Assets		
(a) Trade Receivables	3	9,98,000
(b) Cash & Cash equivalents	4	<u>2,25,000</u>
Total Assets		<u>1,15,37,000</u>
II. Equity and Liabilities		<u>0</u>

(1) Equity		
(i) Equity Share Capital	5	50,00,000
(ii) Other Equity	6	49,92,000
(2) Current Liabilities		
(i) Financial Liabilities		
(a) Trade Payables	7	7,45,000
(b) Short term borrowings	8	<u>8,00,000</u>
Total Equity & Liabilities		1,15,37,000

Notes to Accounts

1.	Property Plant & Equipment		
	Land & Building	43,00,000	
	Plant & Machinery	43,00,000	86,00,000
2.	Inventories		
	DEF Ltd.	12,00,000	
	XYZ Ltd.	<u>5,14,000</u>	17,14,000
3.	Trade Receivables		
	DEF Ltd.	5,98,000	
	XYZ Ltd.	<u>4,00,000</u>	9,98,000
4.	Cash & Cash equivalents		
	DEF Ltd.	1,45,000	
	XYZ Ltd.	<u>80,000</u>	2,25,000
7.	Trade payable		
	DEF Ltd.	4,71,000	
	XYZ Ltd.	<u>2,74,000</u>	7,45,000
8.	Shorter-term borrowings		
	Bank overdraft		8,00,000

Statement of Changes in Equity:

5. Equity share Capital

Balance at the beginning of the reporting period	Changes in Equity share capital during the year	Balance at the end of the reporting period
50,00,000	0	50,00,000

6. Other Equity

	Share application money pending allotment	Equity component of compound financial instrument	Reserves & Surplus			Total
			Capital reserve	Retained Earnings	Other Reserves	
Balance at the beginning				0	24,00,000	24,00,000
Total comprehensive income for the year			0	5,72,000		5,72,000
Dividends			0	(2,00,000)		(2,00,000)
Total comprehensive income attributable to parent			0	3,35,000		3,35,000
Gain on Bargain purchase			18,85,000			18,85,000
Balance at the end of						

reporting period			18,85,000	7,07,000	24,00,000	49,92,00 0
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It is assumed that there exists no clear evidence for classifying the acquisition of the subsidiary as a bargain purchase and, hence, the bargain purchase gain has been recognized directly in capital reserve. If, however, there exists such a clear evidence, the bargain purchase gain would be recognized in other comprehensive income and

then accumulated in capital reserve. In both the cases, closing balance of capital reserve will be ₹ 18,85,000.

Working Notes:

1. Adjustments of Fair Value

The Plant & Machinery of XYZ Ltd. would stand in the books at ₹ 14,25,000 on 1st October, 20X1, considering only six months' depreciation on ₹ 15,00,000 total depreciation being ₹ 1,50,000. The value put on the assets being ₹ 20,00,000 there is an appreciation to the extent of ₹ 5,75,000.

2. Acquisition date profits of XYZ Ltd.

Reserves on 1.4. 20X1	10,00,000
Profit & Loss Account Balance on 1.4. 20X1	3,00,000
Profit for 20X2:	
Total ₹ 8,20,000 less ₹ 1,00,000 (3,00,000 – 2,00,000) i.e.	3,60,000
₹ 7,20,000; for 6 months i.e. up to 1.10.20X1	
Total Appreciation including machinery appreciation (10,00,000 1,50,000 + 5,75,000 – 1,00,000)	<u>16,25,000</u>
Share of DEF Ltd.	<u>32,85,000</u>

3. Post-acquisition profits of XYZ Ltd.

Profit after 1.10. 20X1 [8,20,000-1,00,000]x 6/12	3,60,000
Less: 10% depreciation on ₹ 20,00,000 for 6 months less depreciation already charged for 2 nd half of 20X1-20X2 on	<u>(25,000)</u>
₹ 15,00,000 (1,00,000-75,000)	
Share of DEF Ltd.	<u>3,35,000</u>

4. Consolidated total comprehensive income

<i>DEF Ltd.</i>	
Retained earnings on 31.3.20X2	5,72,000
Less: Retained earnings as on	—
1.4.20X1 Profits for the year 20X1-20X2	<u>(0)</u>
Less: Elimination of intra-group dividend	5,72,000
	0

	<u>(2,00,000)</u>
Adjusted profit for the year <i>XYZ Ltd.</i>	3,72,00 0

Adjusted profit attributable to DEF Ltd. (W.N.3)	3,35,000
Consolidated profit or loss for the year	<u>0</u>
	7,07,000
	<u>0</u>

5. **No Non-controlling Interest as 100% shares of XYZ Ltd. are held by DEF Ltd.**

6. **Gain on Bargain Purchase**

Amount paid for 20,000 shares Par value of shares	20,00,000	34,00,000
DEF Ltd.'s share in acquisition date profits of XYZ Ltd.	<u>0</u>	<u>0</u>
Gain on Bargain Purchase	<u>32,85,000</u>	<u>(52,85,000)</u>
	<u>0</u>	<u>0</u>
		<u>18,85,000</u>

7. **Value of Plant & Machinery**

DEF Ltd.		24,00,000
XYZ Ltd.	13,50,000	<u>0</u>
Add: Appreciation on 1.10. 20X1	<u>0</u>	<u>0</u>
	<u>5,75,000</u>	<u>0</u>
Add: Depreciation for 2nd half charged on pre- revalued value	<u>0</u>	<u>0</u>
	19,25,000	
Less: Depreciation on ` 20,00,000 for 6 months	<u>0</u>	<u>0</u>
	75,000	<u>19,00,000</u>
	<u>(1,00,000)</u>	<u>0</u>
		<u>43,00,000</u>
		<u>0</u>

8. **Consolidated retained earnings**

	DEF Ltd.	XYZ Ltd.	Total
As given	5,72,000	8,20,000	13,92,000
<i>Consolidation Adjustments:</i>			
(i) Elimination of pre-acquisition element [3,00,000 + 3,60,000]	0	(6,60,000)	(6,60,000)
(ii) Elimination of intra-group dividend	(2,00,000)	2,00,000	0
(iii) Impact of fair value adjustments	<u>0</u>	<u>(25,000)</u>	<u>(25,000)</u>
Adjusted retained earnings consolidated	<u>3,72,000</u>	<u>3,35,000</u>	<u>7,07,000</u>

Assumptions:

1. Investment in XYZ Ltd is carried at cost in the separate financial statements of DEF Ltd.
2. Appreciation of `10 lakhs in land & buildings is entirely attributable to land element only.

3. Depreciation on plant and machinery is on WDV method.
4. Acquisition-date fair value adjustment to inventories of XYZ Ltd. existing at the balance sheet date does not result in need for any write-down.

5. **Consolidated Balance Sheet of Ram Ltd. and its subsidiary, Krishan Ltd.**

as at 31st March, 20X2

Particulars	Note No.	
I. Assets		
(1) Non-current assets		
(i) Property, Plant & Equipment	1	17,20,00
(ii) Goodwill	2	0
(2) Current Assets		1,65,80
(i) Inventories	3	0
(ii) Financial Assets		3,42,80
(a) Trade Receivables	4	0
(b) Cash & Cash equivalents	5	
Total Assets		1,99,600
II. Equity and Liabilities		<u>45,000</u>
(1) Equity		<u>24,73,200</u>
(i) Equity Share Capital	6	
(ii) Other Equity	7	
(2) Non-controlling Interest (WN 4)		10,00,00
(3) Current Liabilities		0
(i) Financial Liabilities		7,30,60
(a) Trade Payables	8	0
(b) Short term borrowings	9	4,33,60
		0
		1,49,00
		0
		1,60,00
		0

Total Equity & Liabilities		24,73,200
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Notes to accounts

1.	Property Plant & Equipment		
	Land & Building	8,60,000	

	Plant & Machinery	<u>8,60,000</u>	17,20,000
2.	Goodwill		1,65,800
3.	Inventories		
	Ram Ltd.	2,40,000	
	Krishan Ltd.	<u>1,02,800</u>	3,42,800
4.	Trade Receivables		
	Ram Ltd.	1,19,600	
	Krishan Ltd.	<u>80,000</u>	1,99,600
5.	Cash & Cash equivalents		
	Ram Ltd.	29,000	
	Krishan Ltd.	<u>16,000</u>	45,000
8.	Trade Payables		
	Ram Ltd.	94,200	
	Krishan Ltd.	<u>54,800</u>	1,49,000
9.	Short-term borrowings		
	Bank overdraft		1,60,000

Statement of Changes in Equity:

6. Equity share Capital

Balance at the beginning of the reporting period	Changes in Equity share capital during the year	Balance at the end of the reporting period
10,00,000	0	10,00,000

7. Other Equity

	Share application money	Equity component	Reserves & Surplus			Total
			Capital reserve	Retained Earnings	Other Reserves	
Balance at the beginning of the reporting period				0	6,00,000	6,00,000
Total comprehensive income for the			0	1,14,400		1,14,400

year						
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Dividends			0	(24,000)		(24,000)
Total comprehensive income attributable to parent			0	40,200		40,200
Gain on Bargain purchase				0		0
Balance at the end of reporting period				1,30,600	6,00,000	7,30,600

Working Notes:

1. Adjustments of Fair Value

The Plant & Machinery of Krishan Ltd. would stand in the books at ` 2,85,000 on 1<sup>st</sup> October, 20X1, considering only six months' depreciation on ` 3,00,000 total depreciation being ` 30,000. The value put on the assets being ` 4,00,000 there is an appreciation to the extent of ` 1,15,000.

2. Acquisition date profits of Krishan Ltd.

Reserves on 1.4. 20X1	2,00,000
Profit & Loss Account Balance on 1.4. 20X1	60,000
20X1 Profit for 20X1-20X2: Total (` 1,64,000 less	
` 20,000) x 6/12 i.e. ` 72,000;	72,000
upto 1.10. 20X1	<u>3,25,000</u>
Total	<u>6,57,000</u>
Appreciation	3,94,200
Holding Co. Share (60%)	

3. Post-acquisition profits of Krishan Ltd.

Profit after 1.10. 20X1 $[1,64,000-20,000] \times 6/12$	72,000
Less: 10% depreciation on ` 4,00,000 for 6 months less depreciation already charged for 2 <sup>nd</sup> half of 20X1-20X2 on ` 3,00,000 (20,000-15,000)	<u>(5,000)</u>
Total	<u>67,000</u>
Share of holding Co. (60%)	40,200

4. Non-controlling Interest

Par value of 1600 shares		160,000
Add: 2/5 Acquisition date profits (6,57,000 – 40,000)		2,46,800
Add: 2/5 Post-acquisition profits [WN 3]		<u>26,800</u>
		<u>4,33,600</u>
		<u>0</u>

5. Goodwill:

Amount paid for 2,400 shares		8,00,000
Par value of shares	2,40,000	0
Acquisition date profits share of Ram Ltd.	0	
Goodwill	<u>3,94,200</u>	<u>(6,34,200)</u>
	<u>0</u>	<u>1,65,800</u>

6. Value of Plant & Machinery:

Ram Ltd.		4,80,000
Krishan Ltd.	2,70,000	0
Add: appreciation on 1.10. 20X1	0	
	<u>1,15,000</u>	
Add: Depreciation for 2nd half charged on pre-revalued value	0	
	3,85,000	
Less: Depreciation on ` 4,00,000 for 6 months	0	
	15,000	<u>3,80,000</u>
	<u>(20,000)</u>	<u>0</u>
		<u>8,60,000</u>
		<u>0</u>

7. Profit & Loss account consolidated

Ram Ltd. (as given)	1,14,400	
Less: Dividend	<u>(24,000)</u>	90,400
Share of Ram Ltd. in post-acquisition profits		<u>40,200</u>
		<u>1,30,600</u>

6. Blue Heavens Ltd. consolidated balance sheet at 31 March 20X2 will be calculated as follows: (in lakhs)

	Blue Heavens Ltd.	Orange County Ltd.	Consolidation adjustments	Consolidated Blue Heavens Ltd.
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	Carrying amount	Carrying amount		
Assets				
Non-current assets				
Goodwill			1,300 (WN 1)	1,300

Buildings and other PPE	7,000	3,000	300	10,300
Financial Assets				
Investment in Orange County Ltd.	6,000		(6,000)	
Current assets				
Inventories	700	500	100	1,300
Financial Assets				
Trade receivables	300	250		550
Cash	1,500	700		2,200
Total assets	15,500	4,450		15,650
Equity and liabilities				
Equity				
Share capital	5,000	2,000	(2,000)	5,000
Other Equity	10,200	2,300	(2,300)	10,200
Trade payable	300	150		450
Total liabilities and equity	15,500	4,450		15,650

Consolidation involves:

- Adding the balance sheet of the parent and its subsidiary together line by line.
- Eliminating the carrying amount of the parent's investment in the subsidiary (because it is replaced by the goodwill and the fair value of the assets, liabilities and contingent liabilities acquired) and the pre-acquisition equity of the subsidiary (because that equity was not earned or contributed by the group but is part of what was purchased) and recognising the fair value adjustments together with the goodwill asset that arose on acquisition of the subsidiary.

1. Working for goodwill: (` in lakhs)

Consideration paid	6,000
Less: Acquisition date fair value of Orange County Ltd. net assets	(4,700)
Goodwill	<u>1,300</u>
2. Working for the acquisition date fair value of Orange County Ltd. net assets: Acquisition date fair value of acquiree (Orange

County Ltd.) assets

Buildings and other PPE	3,300
Inventories	600
Trade receivables	250
Cash	700
Less: fair value of trade payables	<u>(150)</u>
Fair value of net assets acquired	<u>4,700</u>

7. Non-controlling interest

= 25 % × Orange County Ltd. identifiable net assets at fair value of ₹ 4,700 = ₹ 1,175.

Blue Heavens Ltd.'s consolidated balance sheet at 31 March 20X2 will be calculated as follows: (in lakhs)

	Blue Heavens Ltd.	Orange County Ltd.	Consolidation adjustments	Consolidated Blue Heavens Ltd.
	Carrying amount	Carrying amount		
Assets				
Non-current assets				
Goodwill			975 (WN 1)	975
Buildings and other PPE	7,000	3,000	300	10,300
Financial Assets				
Investment in Orange County Ltd.	4,500		(4,500)	
Current assets				
Inventories	700	500	100	1,300
Financial Assets				
Trade receivables	300	250		550
Cash	<u>3,000</u>	<u>700</u>		<u>3,700</u>
Total assets	<u>15,500</u>	<u>4,450</u>		<u>16,825</u>

Equity and liabilities				
Equity	5,000	2,000	(2,000)	5,000
Share capital Other Equity	10,200	2,300	(2,300)	10,200

Non-controlling interest			1,175	1,175
Current liabilities				
Financial Liabilities	<u>300</u>	<u>150</u>		<u>450</u>
Trade payables				
Total liabilities and equity	<u>15,500</u>	<u>4,450</u>		<u>16,825</u>

Note: In this question, Blue Heavens Ltd.'s (and consequently the group's) cash balance is ` 1,500 lakh higher than in Question above because, here Blue Heavens Ltd. paid ` 1,500 less to acquire Orange County Ltd. (i.e. ` 6,000 less ` 4,500).

1. **Working for goodwill:**

(` in lakhs)

Consideration paid 4,500

Non- controlling interest 1,175

Less: Acquisition date fair value of Orange County Ltd. net assets

(cal. as above) 4,700

Goodwill 975

(Goodwill recognized in the consolidated balance sheet relates solely to the acquirer's proportion of the subsidiary; it does not include the non-controlling interest's share).

8. **Alternative I for calculation of Non-controlling Interest:**

The Non-controlling Interest proportion of Orange County Ltd. is 25%.

At 31 March 20X3, the NCI in the consolidated balance sheet would be calculated as:

` (lakh)

NCI at date of acquisition (31 March 20X2) (see solution to Question 7)	1,175
NCI's share of profit for the year ended 31 March 20X3, being 25%	
Of ` 435 lakh (being ` 550 profit of Orange County Ltd. as per Orange County Ltd. financial statements less ` 100 group inventory)	
Fair value adjustment less ` 15 group depreciation on building	

fair value adjustment)*	<u>109</u>
NCI as at 31 March 20X3	<u>1,284</u>

*In calculating the NCI's share of profit for the year ended 31 March 20X3, no deduction is made for goodwill amortization because, as explained above, the goodwill arising on

consolidation relates solely to the acquirer's proportion of the subsidiary and does not

include the non-controlling interest's share.

Alternative II for calculation of Non-controlling Interest:

As an alternative to the above three-step approach, at 31 March 20X3 the NCI in the consolidated balance sheet is calculated as 25% (the NCI's proportion) of ` 5,135, which is ` 1,284. ` 5,135 is Orange County Ltd. net assets at 31 March 20X3 as shown in Orange County Ltd. balance sheet (` 4,850, being ` 5,020 assets less ` 170 liabilities) plus the fair value adjustment to those assets as made in preparing the group balance sheet (` 285, being the fair value adjustment in respect of Orange County Ltd. building, ` 300, less one year's depreciation of that adjustment, ` 15).

Blue Heavens Ltd. consolidated statement of comprehensive income for the year ended 31 March 20X3 will be computed as follows:

	Blue Heaven s Ltd.	Orange County Ltd.	Consolidat e adjustment s	Consolidate d
Revenue	3,000	1,900		4,900
Cost of sales	(1,800)	(1,000)	(100) (WN 1)	(2,900)
Profit for the year	1,200	900		2,000
Administrative expenses	(400)	(350)	(113) (WN 2)	(863)
Total comprehensive income for the year	800	550		1,137

Total comprehensive income attributable to:

Owners of the parent (75%)	1,028
Non-controlling interest (25%)	–
	<u>109</u>
	<u>1,13</u>
	<u>7</u>

Consolidation involves:

- Adding the statement of comprehensive income of the parent and its subsidiary together line by line
- Recognising the fair value adjustments and/ or amortisation thereof together with amortisation of the goodwill asset that arose on acquisition of the subsidiary.

Blue Heavens Ltd. consolidated balance sheet at 31 March 20X3 will be computed as follows: ([^] in lakh)

	Blue Heaven s Ltd.	Orang e Count y Ltd.	Consolidati on adjustmen ts	Consolidat ed Blue Heavens Ltd.
	Carryin g amoun t	Carryin g amoun t		
Assets				
Non-current assets				
Goodwill			975-98 (WN 3)	877
Buildings and other PPE	6,500	2,750	285 (WN 4)	9,535
Financial Assets				
Investment in Entity B	4,500		(4,500)	
Current assets				
Inventories	800	550		1,350
Financial Assets				
Trade receivables	380	300		680
Cash	4,170	1420		5,590
Total assets	16,350	5,020		18,032
Equity and liabilities				
Equity				
Share capital	5,000	2,000	(2,000)	5,000
Other Equity	11,000	2,850	(2,622) (WN 5)	11,228
Non-controlling interest			1,284	1,284
Current liabilities				
Financial Liabilities				
Trade payables	350	170		520
Total liabilities and equity	16,350	5,020		18,032

Consolidation involves:

- Adding the balance sheet of the parent and its subsidiary together line by line.
- Eliminating the carrying amount of the parent's investment in the subsidiary (because it is replaced by the goodwill and the fair value of the assets, liabilities and contingent liabilities acquired) and the pre-acquisition equity of the subsidiary (because that equity was not earned or contributed by the group but is part of what was

purchased), and recognising the fair value adjustments together with the goodwill asset that arose on acquisition of the subsidiary as adjusted to reflect the first year post-acquisition

- Recognising the non-controlling interest in the net assets of Entity B.

Working Notes:

- (1) Cost of sales adjustment:

₹ 100 = fair value adjustment in respect of inventories at 31 March 20X2.

- (2) Administrative expenses adjustment:

₹ 113 = Impairment of goodwill ₹ 98 (WN 3) + additional depreciation on building

₹ 15 (WN 4).

For simplicity it is assumed that all the goodwill impairment and the additional depreciation on buildings (on account of fair value adjustment) is adjusted against administrative expenses.

- (3) Working for goodwill:

Goodwill at the acquisition date, ₹ 975, less accumulated impairment, ₹ 98 = ₹ 877.

- (4) Working for building consolidation adjustment:

The fair value adjustment at 31 March 20X2 in respect of Orange County Ltd. building was ₹ 300, that is, the carrying amount at 31 March 20X2 was ₹ 300 lower than was recognized in the group's consolidated balance sheet. The building is being depreciated over 20 years from 31 March 20X2. Thus, at 31 March 20X3 the adjustment required on consolidation to the balance sheet will be ₹ 285, being ₹ 300

× 19/20 years' estimated useful life remaining. The additional depreciation

recognized in the consolidated statement of comprehensive income is ₹ 15 (being

₹ 300 × 1/20).

- (5) Reserves adjustment:

₹ 2,300 adjustment at the acquisition date

(Question 7) plus ₹ 98 (WN 3) impairment of goodwill

plus ₹ 15 (WN 4) additional depreciation on building

plus ₹ 100 (WN 1) fair value adjustment in respect of inventories

plus ₹ 109 NCI's share of Orange County Ltd. profit for the year (as

included in the
consolidated statement of comprehensive income)
= ` 2,622.

8. When 100% shares sold to independent party Consolidated Balance Sheet of P Pvt. Ltd. and its remaining subsidiaries as at 31st March, 20X2

Particulars	Note No.	(` in millions)
I. Assets		
(1) Non-current assets		
(i) Property Plant & Equipment	1	1,900
(ii) Goodwill	2	200
(2) Current Assets		
(i) Inventories	3	100
(ii) Financial Assets		
(a) Trade Receivables	4	800
(b) Cash & Cash equivalents	5	<u>5,100</u>
Total Assets		<u>8,100</u>
II. Equity and Liabilities		
(1) Equity		
(i) Equity Share Capital	6	1,600
(ii) Other Equity	7	4,700
(2) Non-controlling Interest		
(3) Current Liabilities		
(i) Financial Liabilities		
(a) Trade Payables	8	<u>1,800</u>
Total Equity & Liabilities		<u>8,100</u>

Notes to accounts:

		(` in millions)
1.	Property Plant & Equipment	
	Land & Building	3,240
	Less: S Pvt. Ltd.	<u>(1,340)</u>
2.	Goodwill	380
	Less: S Pvt. Ltd.	<u>(180)</u>
3.	Inventories	
	Group	140
	Less: S Pvt. Ltd.	<u>(40)</u>
4.	Trade Receivables	
	Group	1,700

	Less: S Pvt. Ltd.	(900)	800
5.	Cash & Cash equivalents		
	Group (WN 2)	5,100	5,100
6.	Trade Payables		
	Group	2,700	
	Less: S Pvt. Ltd.	<u>900</u>	1,800

Statement of changes in Equity:

6. Equity share Capital

Balance at the beginning of the reporting period	Changes in Equity share capital during the year	Balance at the end of the reporting period
1600	0	1600

7. Other Equity

	Share application money	Equity component	Reserves & Surplus			Total
			Capital reserve	Retained Earnings	Securities Premium	
Balance at the beginning				4,260		4,260
Total comprehensive income for the year			0			
Dividends			0			
Total comprehensive income attributable to parent			0			
Gain on disposal of S Pvt. Ltd.				440		440
Balance at the end of reporting period			0	4,700		4,700

Working Notes:

- When sold, the carrying amount of all assets and liabilities attributable to S Pvt. Ltd. were eliminated from the consolidated balance sheet.

2. Cash on hand (in millions):

Cash before disposal of S Pvt. Ltd.	3,100
Less: S Pvt. Ltd. Cash	(1,000)
Add: Cash realized from disposal	<u>3,000</u>
Cash on Hand	<u>5,100</u>

3. Gain/ Loss on disposal of entity (in millions):

Proceeds from disposal	3,000
Less: Net assets of S Pvt. Ltd.	(2,560)
	<u>440</u>
Gain on disposal	<u>440</u>

4. Retained Earnings (in millions):

Retained Earnings before disposal	4,260
Add: Gain on disposal	<u>440</u>
Retained earnings after disposal	<u>4,700</u>

10. When 90% shares sold to independent party Consolidated Balance Sheet of Reliance Ltd. and its remaining subsidiaries as at 31st March, 20X2

Particulars	Note No.	(` In '000)
I. Assets		
(1) Non-current assets		
(i) Property Plant & Equipment	1	950
(ii) Goodwill	2	100
(iii) Financial Assets		
(a) Investments	3	128
(2) Current Assets		
(i) Inventories	4	50
(ii) Financial Assets		
(b) Trade Receivables	5	400
(c) Cash & Cash equivalents	6	<u>2,050</u>
Total Assets		<u>3,678</u>
II. Equity and Liabilities		
(1) Equity		
(i) Equity Share Capital	7	800
(ii) Other Equity	8	1,978

(2) Current Liabilities		
(i) Financial Liabilities		
(a) Trade	9	<u>900</u>
Payables Total Equity & Liabilities		<u>3,678</u>

Notes to accounts:

			(` In '000)
1.	Property Plant & Equipment		
	Land & Building	1620	
	Less: Reliance Jio Infocomm Ltd.	<u>(670)</u>	950
2.	Goodwill	190	
	Less: Reliance Jio Infocomm Ltd.	<u>(90)</u>	100
3.	Investments		
	Investment in Reliance Jio Infocomm Ltd. (WN 2)	<u>128</u>	128
4.	Inventories		
	Group	70	
	Less: Reliance Jio Infocomm Ltd.	<u>(20)</u>	50
5.	Trade Receivables		
	Group	850	
	Less: Reliance Jio Infocomm Ltd.	<u>(450)</u>	400
6.	Cash & Cash equivalents		
	Group (WN 3)	2,050	2,050
9.	Trade Payables		
	Group	1,350	
	Less: Reliance Jio Infocomm Ltd.	<u>450</u>	900

Statement of changes in Equity:

7. Equity share Capital

Balance at the beginning of the reporting period	Changes in Equity share capital during the year	Balance at the end of the reporting period
800	0	800

8. Other Equity

	Share application money	Equity component	Reserves & Surplus			Total
			Capital reserve	Retained Earnings	Securities Premium	
Balance at the beginning				2,130		2,130
Total comprehensive income for the year			0			
Dividends			0			
Total comprehensive Income attributable to parent			0			
Loss on disposal of Reliance Jio Infocomm Ltd.				(152)		(152)
Balance at the end of reporting period			0	1,978		1,978

Working Notes:

- When 90% being sold, the carrying amount of all assets and liabilities attributable to Reliance Jio Infocomm Ltd. were eliminated from the consolidated balance sheet and further financial asset is recognized for remaining 10%.

- Carrying value of remaining investment (in '000):

Net Assets of Reliance Ltd.	1,280
Less: 90% disposal	(1152)
Financial Asset	<u>128</u>

- Cash on hand (in '000):

Cash before disposal of Reliance Jio Infocomm Ltd.	1,550
	(500)
Less: Reliance Jio Infocomm Ltd. Cash	<u>1,000</u>
Add: Cash realized from disposal	
Cash on Hand	<u>2,050</u>

4. Gain/ Loss on disposal of entity (in '000):

Proceeds from disposal	1,000
<i>Less:</i> Proportionate (90%) Net assets of Reliance Jio Infocomm Ltd. (90% of 1,280)	<u>(1,152)</u>
Loss on disposal	<u>(152)</u>

5. Retained Earnings (in '000):

Retained Earnings before disposal	2,130
<i>Less:</i> Loss on disposal	<u>(152)</u>
Retained earnings after disposal	<u>1,978</u>